

TAB 13



Board of Education Report

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File #: Rep-021-23/24, Version: 1

Change in Membership of the California Statewide Delinquent Tax Finance Authority**August 22, 2023****Office of the Chief Business Officer****Action Proposed:**

Approve the attached resolution (Attachment A) approving the amendment to the Joint Exercise of Powers Agreement for the California Statewide Delinquent Tax Finance Authority ("Finance Authority").

Background:

In June 2001, the Board authorized the Chief Financial Officer to join a Joint Powers Authority (JPA) enabling the Chief Financial Officer, on behalf of the District, to sell or transfer the District's right to its delinquent property taxes to the JPA. The JPA created is the Finance Authority.

Under this program, the District receives annually 100% of the amount of the delinquent taxes plus a negotiated premium. The JPA or the County Auditor-Controller only reports to the State the principal portion of the delinquent property taxes. The District retains the premium, which is not subject to State revenue limit offset. From the initial financing in 2002, this program has generated \$38 million in unrestricted revenue to the District.

One of the founding members of the JPA, Long Beach Unified School District, has requested to be removed as a member. Torrance Unified School District has agreed to replace Long Beach USD as a member of the authority.

Expected Outcomes:

The Board will approve adding Torrance USD as a new member of the Finance Authority and removing Long Beach USD as a member.

Board Options and Consequences:

In order for the change to the membership of the Finance Authority to change, the Board needs to adopted the attached resolution.

Policy Implications:

None

Budget Impact:

The change in Finance Authority membership has no budget effect.

Student Impact:

The Finance Authority generates additional unrestricted revenue which will be available for educating students.

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Equity Impact:

Component	Score	Score Rationale
Recognition	1	The proceeds from the GO Bond transaction will be used to fund identified capital projects within the District, which include areas that have had historical inequities.
Resource Prioritization	1	GO Bond proceeds will be allocated to fund identified capital projects that specifically address student needs.
Results	1	Since proceeds from the GO Bond issuance will be used for capital projects designed to modernize and elevate student experience within communities that have experienced historical inequities, it should result in closing opportunity and achievement gaps.
TOTAL	3	

Issues and Analysis:

In order for the change to the membership of the Finance Authority to change, the member of the Finance Authority needs to approve the amendment.

Attachments:

Attachment A - Resolution

Informatives:

Not applicable

Submitted:

07/24/2023

RESPECTFULLY SUBMITTED,


ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:


PEDRO SALCIDO
Deputy Superintendent,
Business Services and Operations

REVIEWED BY:


DEVORA NAVERA REED
General Counsel

APPROVED & PRESENTED BY:


DAVID D. HART
Chief Business Officer☒ Approved as to form.

REVIEWED BY:


NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance☒ Approved as to budget impact statement.

AMENDMENT TO JOINT EXERCISE OF POWERS AGREEMENT

CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY

This AMENDMENT TO JOINT EXERCISE OF POWERS AGREEMENT (this "Agreement") dated as of _____, 2023, (the "Effective Date") is by and among the school districts identified on the signature page of this Agreement, each of which is an entity which is entitled to an apportionment of *ad valorem* property taxes levied under the provisions of Article XIII A of the California Constitution (collectively, the "Parties").

B A C K G R O U N D :

1. Agencies formed under Article 1 (commencing with Section 6500) of Chapter 5, Division 7, Title 1 of the Government Code of the State of California (the "Joint Powers Law") are authorized under Section 6516.6 of the Joint Powers Law to issue bonds, including certificates of participation, pursuant to Article 2 or Article 4 of the Joint Powers Law for the purpose of purchasing delinquent assessments or taxes levied on the secured roll by local agencies and other political subdivision of the State of California.

2. The Los Angeles Unified School District, the Long Beach Unified School District, the Glendale Unified School District, the Downey Unified School District and the Las Virgenes Unified School District have previously entered into a Joint Exercise of Powers Agreement dated as of April 1, 2001, a true and correct copy of which is attached hereto as Exhibit A (the "JPA Agreement"), for the purpose of forming an agency under the Joint Powers Law, designated the California Statewide Delinquent Tax Finance Authority (the "Authority"), which is authorized to implement a program under Section 6516.6 of the Joint Powers Law to finance the acquisition of delinquent *ad valorem* property tax liens from participating local educational agencies in Los Angeles County.

3. The Long Beach Unified School District has requested to be removed as a member of the Authority, and the Torrance Unified School District has agreed to become a member of the Authority, and the Parties wish to enter into this Agreement for the purpose of effectuating such change in the membership of the Authority.

A G R E E M E N T :

In consideration of the above premises and of the mutual promises herein contained, the Parties do hereby agree as follows:

Section 1. Removal of Long Beach Unified School District as Member of the Authority. The Parties hereby agree that from and after the Effective Date, Long Beach Unified School District shall cease to be a Member of the Authority and, as such, shall cease to have a representative on the Board of Directors of the Authority.

Section 2. Addition of Torrance Unified School District as Member of the Authority. The Parties hereby agree that from and after the Effective Date, Torrance Unified School District shall become a Member of the Authority, with all of the rights of a Member as that term is defined in the JPA Agreement. Without limiting the generality of the foregoing sentence, from and after the Effective Date, Torrance Unified School District shall designate an authorized representative to serve as a member of the Board of Directors of the Authority in accordance with the provisions of Section 1.05 of the JPA Agreement, pursuant to written authorization filed with the Secretary of the Authority. Notwithstanding that Torrance Unified School District was not an original signatory to the JPA Agreement, for purposes of Section 4.05 of the JPA Agreement relating to the amendment of the JPA Agreement, the Torrance Unified School District shall be treated as a Founding Member of the Authority.

Section 3. Effect of this Amendment on JPA Agreement. Except as amended by this Agreement, the JPA Agreement shall remain in full force and effect.

Section 4. Defined Terms. Any capitalized terms used in this Agreement and not otherwise defined shall have the respective meanings given to such terms in the JPA Agreement.

Section 5. Execution in Counterparts. This Agreement may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

Section 6. Governing Law. This Agreement is made in the State of California under the Constitution and laws of the State of California, and is to be so construed.

IN WITNESS WHEREOF, the Parties hereto have caused this Agreement to be executed and attested by their proper officers thereunto duly authorized and their official seals to be hereto affixed, as of the day and year first above written.

**LOS ANGELES UNIFIED SCHOOL
DISTRICT**

By: _____
Name:
Title:

LONG BEACH SCHOOL DISTRICT

By: _____
Name:
Title:

**GLENDALE UNIFIED SCHOOL
DISTRICT**

By: _____
Name:

**DOWNEY UNIFIED SCHOOL
DISTRICT**

By: _____
Name:

Title:

Title:

**LAS VIRGENES UNIFIED SCHOOL
DISTRICT**

**TORRANCE UNIFIED SCHOOL
DISTRICT**

By: _____

Name:

Title:

By: _____

Name:

Title:

RESOLUTION NO. ____

RESOLUTION OF THE BOARD OF EDUCATION OF THE LOS ANGELES UNIFIED SCHOOL DISTRICT APPROVING AND AUTHORIZING THE EXECUTION AND DELIVERY OF AN AMENDMENT TO THE JOINT EXERCISE OF POWERS AGREEMENT RELATING TO THE CALIFORNIA STATEWIDE DELINQUENT TAX FINANCE AUTHORITY FOR THE PURPOSE OF REMOVING AN EXISTING MEMBER AND ADDING A NEW MEMBER

WHEREAS, under Section 6516.6(b) of the Government Code of the State of California (the "Law"), a school district is authorized to sell and assign to a joint powers authority any or all of its right, title, and interest in and to the enforcement and collection of delinquent and uncollected property taxes, assessments, and other receivables that have been levied by or on behalf of the school district for collection on the secured, unsecured, or supplemental property tax rolls in accordance with such terms and conditions as are set forth in an agreement with the joint powers authority; and

WHEREAS, pursuant to a Joint Exercise of Powers Agreement dated as of April 1, 2001 (the "Joint Powers Agreement"), among the Los Angeles Unified School District, the Long Beach Unified School District, the Glendale Unified School District, the Las Virgenes Unified School District and the Downey Unified School District, the California Statewide Delinquent Tax Finance Authority (the "Authority") has been formed as a joint powers authority for the purpose of purchasing delinquent *ad valorem* property taxes in accordance with Section 6516.6 of the Law upon terms and conditions which are acceptable to the participating districts; and

WHEREAS, the Long Beach Unified School District has requested to be removed as a member of the Authority, and the Torrance Unified School District has agreed to become a member of the Authority, and in order to effectuate such change in the membership of the Authority, the Los Angeles Unified School District has been requested to enter into an Amendment to Joint Exercise of Powers Agreement, the form of which is on file with the Clerk of the Board;

NOW, THEREFORE, BE IT RESOLVED by the Board of Education of the Los Angeles Unified School District as follows:

Section 1. Amendment of Joint Powers Agreement. The Board hereby approves the Amendment to Joint Exercise of Powers Agreement, the form of which is on file with the Clerk of the Board. The Superintendent or any designee of the Superintendent is hereby authorized and directed to execute and deliver the Amendment to Joint Exercise of Powers Agreement in the name and on behalf of the District.

Section 2. Effective Date. This Resolution shall take effect from and after the date of approval and adoption thereof.

PASSED AND ADOPTED this ____ day of _____, 2023, by the following vote:

AYES:

NOES:

ABSENT:

President of the Board of Education

ATTEST:

Secretary of the Board of Education